

FHA Loan Requirements - HUD Handbook 4000.1

Source: HUD Handbook 4000.1, FHA Single Family Housing Policy | Effective: 2024-01-01

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DTI Limits

FHA loans have a two-tier DTI analysis. The front-end ratio (housing expense to income) must not exceed 31%, and the back-end ratio (total obligations to income) must not exceed 43%. However, borrowers with compensating factors may qualify with higher ratios: a back-end ratio up to 50% may be acceptable when documented with significant compensating factors such as verified reserves, minimal payment shock, or significant residual income.

Compensating factors must be documented and justified in the loan file. The underwriter must explain why the higher DTI ratio is acceptable given the borrower's overall financial picture.

Mortgage Insurance Premium

All FHA loans require both an upfront mortgage insurance premium (UFMIP) and an annual mortgage insurance premium (MIP). The UFMIP is currently 1.75% of the base loan amount and may be financed into the loan. The annual MIP amount depends on the loan term, LTV ratio, and loan amount.

For a 30-year loan with an LTV greater than 95%, the annual MIP is 0.55% of the average outstanding balance. MIP is required for the life of the loan when the LTV exceeds 90% at origination. For LTV of 90% or below, MIP may be cancelled after 11 years.

Property Standards

All properties securing FHA loans must meet HUD's minimum property requirements (MPRs). The property must protect the health and safety of the occupants, protect the security of the property, and be free of conditions that impair the structural integrity. Common issues that require repair before closing include: peeling paint (for pre-1978 properties due to lead-based paint concerns), missing handrails, broken windows, exposed wiring, and roof defects with remaining life under 2 years.

The appraisal report must confirm that the property meets MPRs. If deficiencies are noted, they must be repaired before loan closing or addressed through an escrow holdback.

Minimum Credit Score

FHA requires a minimum credit score of 500. Borrowers with credit scores between 500 and 579 are limited to a maximum LTV of 90% (10% minimum down payment). Borrowers with credit scores of 580 or above may qualify for the maximum LTV of 96.5% (3.5% minimum down payment).

Many FHA-approved lenders impose their own credit score overlays above the FHA minimum. A common overlay is a minimum score of 620 or 640.